

A Discount on the Moat: The Deep Value Case for LVMH

(EPA: MC, ADR: LVMUY)

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LVMH Stock Situation – Drawdowns since Jul 2023



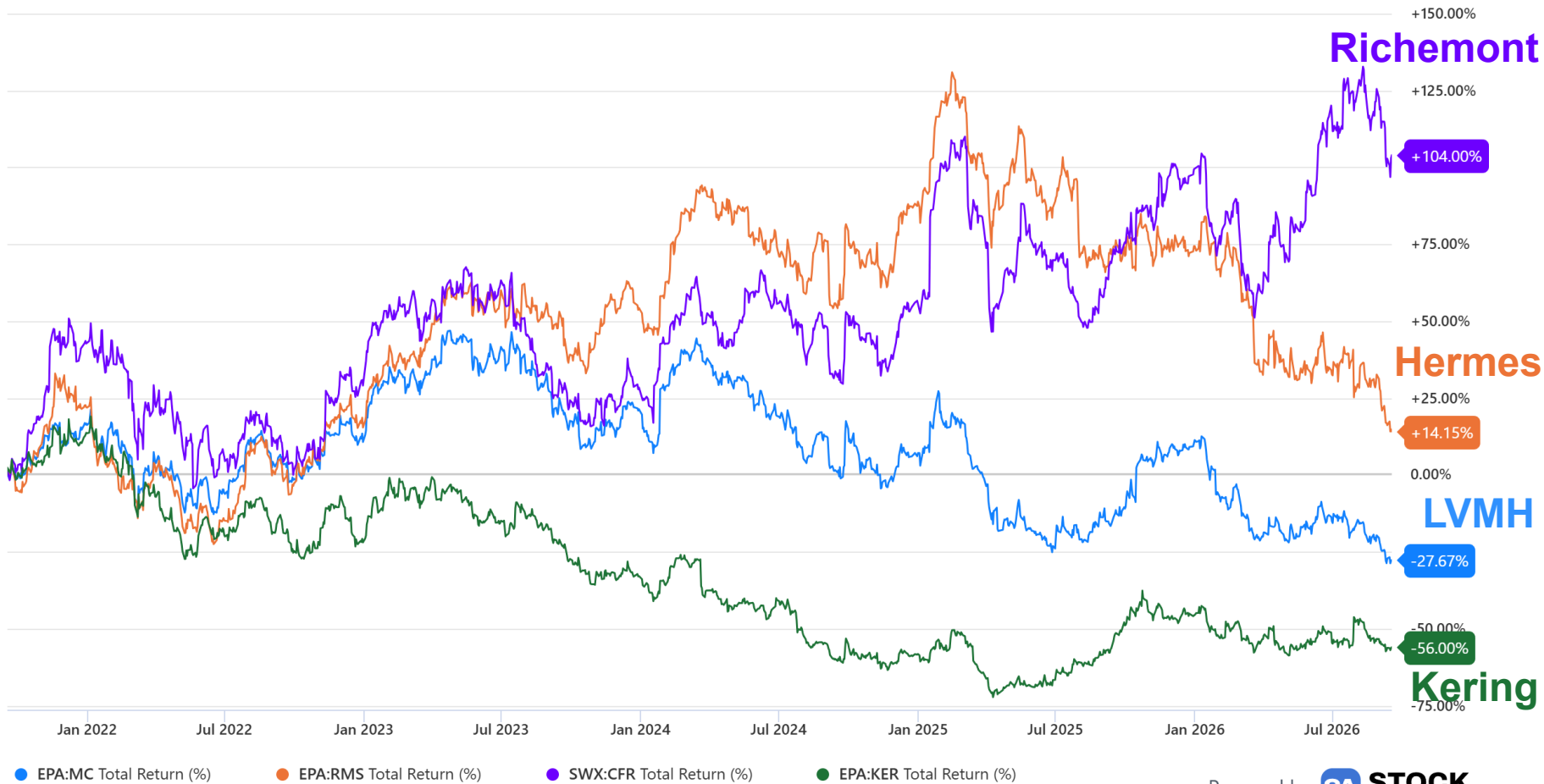
Source: <https://investorean.com/tools/asset-drawdown/>, as of Sep 17 2026

LVMH Stock Situation - Events



LVMH Stock Situation - Performance across industry

Luxury Brands - Five Year Total Return (%)



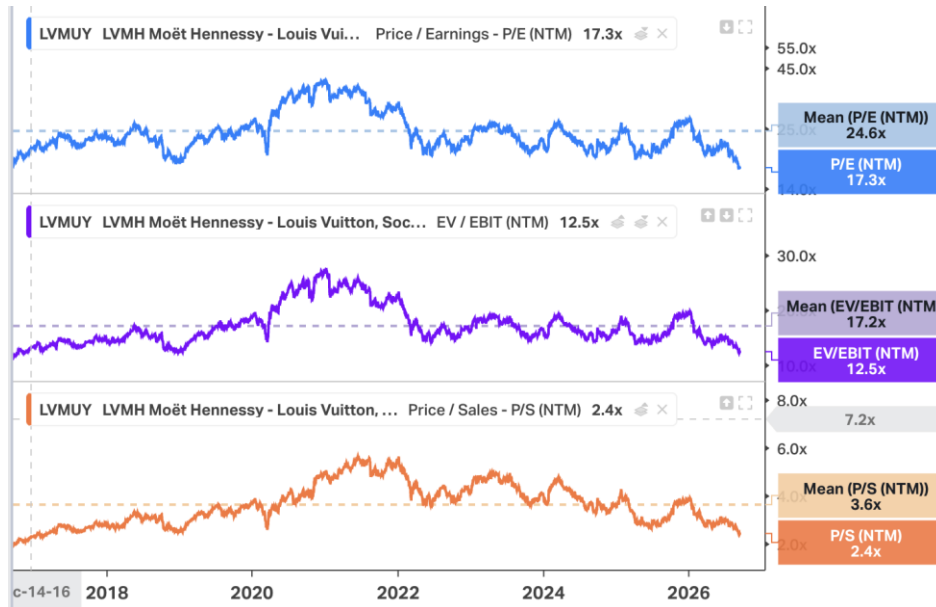
Source: <https://stockanalysis.com/stocks/compare>, as of Sep 17 2026

Market Overview

PUBLISHED ON 04/10/2025

LVMH continues to achieve organic growth in the first quarter, in a global environment impacted by the conflict in the Middle East

LVMH – lower revenues due to the modest consumer spending, driven by the uncertain geopolitical environment oil prices and rising inflation around the world.



Consumer Staples and Consumer Discretionary



Content

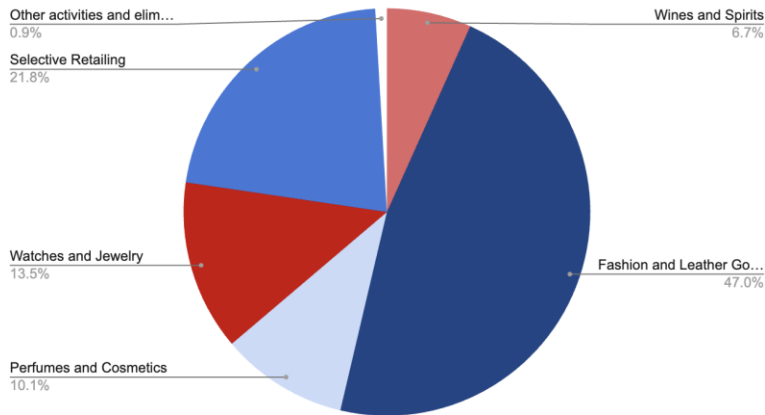
- Part I: Intro about LVMH and Luxury Brands

- Part II: Catalysts and our assumptions

- Part III: Valuation

Luxury Goods Industry Overview

Revenue breakdown by business group (June, 2026)



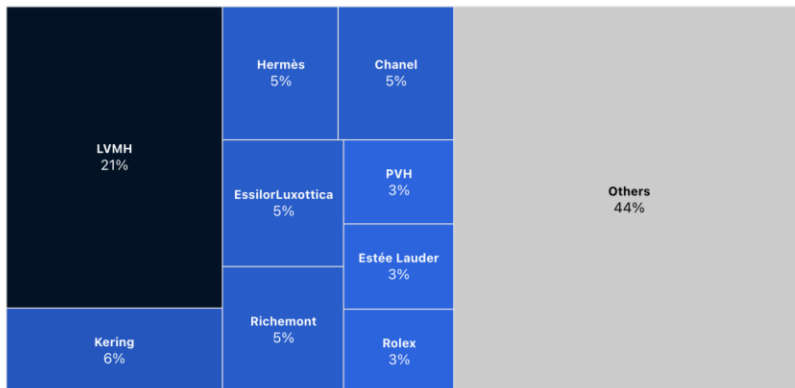
https://lvmh-com.cdn.prismic.io/lvmh-com/CmJbUDA5Jzsdufho_LVMH_2026Firsthalffinancialreport.pdf

LVMH Moët Hennessy Louis Vuitton is a multinational luxury goods conglomerate (6 sectors, 75 maisons), operating within **Luxury Goods** industry.

Global industry spending reached **€1,443 billion in 2025**, of which personal luxury goods were €358B

Company Shares

in percent



LVMH holds 21% of the market share, being the largest company by the market share.

Most recent update: May 2026

Source: Statista Market Insights

Source: <https://www.statista.com/outlook/cmo/luxury-goods/worldwide/?srsltid=AU7gw4UwKXya3fRpzFNYh0x1Hz6lpbrzxUqrnTWB30-tWuhFt1kjXLX0#key-players>

Luxury Goods Industry Financial Overview

Global
Market Cap

\$427.8 bn

Revenue
(2026)

\$480.33bn

Per person
revenues (2026)

\$60.99

Annual growth
(CAGR 2026-2031)

2.19%

× — Morningstar Global Luxury Goods GR USD

O:19,431.28 H:19,431.28 L:17,513.53 C:17,513.53 Vol:0 -2,687.71 | -13.30%

USD ▼



USD | Morningstar Indexes | End of Date as of Sep 18, 2026

Industry is showing signs of stabilization after two years of contraction (-13.30%)

Investment landscape:

- 2026 is not expected to be a year of aggressive expansion (production or logistics capacity).
- Over the next 12 months, luxury companies will prioritize investments in brand equity strengthening and accelerate digital transformation.

Sources:

[1] <https://www.statista.com/outlook/cmo/luxury-goods>

[2] <https://indexes.morningstar.com/indexes>

Regional Industry Trends



- Consumers in the United States and China will play an outsized role in determining which brands emerge as leaders.
- US - the world's largest luxury market by sales (97 billion USD in 2026)
- China – one of the fastest-growing markets through 2030.

Europe

Confidence in revenue stability (68.8%) and margins (70.8%), pricing power leveraging with selective retail rationalization

United States

60% expecting revenue stability and 64% confidence in margins, subdued consumer confidence and rising operational costs.

Asia

65.6% revenue stability and 71.1% margin confidence, with robust domestic demand in Japan and South Korea.

Middle East

66.7% revenue optimism and 80.0% confidence margin, affluent demand and massive government-driven infrastructure investments.

Sources:

[1] [Deloitte: 2026/global-powers-of-luxury-goods-2026.pdf](#)

[2] [mckinsey.com/industries/retail/our-insights/state-of-luxury#/](#)

Industry Trends

Deloitte: “Global luxury industry expects to navigate a delicate equilibrium, pursuing growth through strategic pragmatism”



Luxury demand recovery is still uneven and fragile, but it has been improving sequentially.



The **conflict in Iran** put negative pressure on an already fragile outlook for luxury spend.



AI usage for efficiency improvements across back-office functions, e-commerce and targeted marketing, among other tasks.



In China, challenges among younger and middle-income consumers suggest the era of sustained double-digit expansion is over (for now).



K-shaped economy is benefiting brands focused on high-income consumers, while others face more challenges.

Sources:

[1] [Morganstanley: Luxury-goods-market-outlook-2026-contraction-to-caution](#)

[2] [Deloitte: Global-powers-of-luxury-goods-2026.pdf](#)

Company Overview #1 – What is LVMH?

LVMH

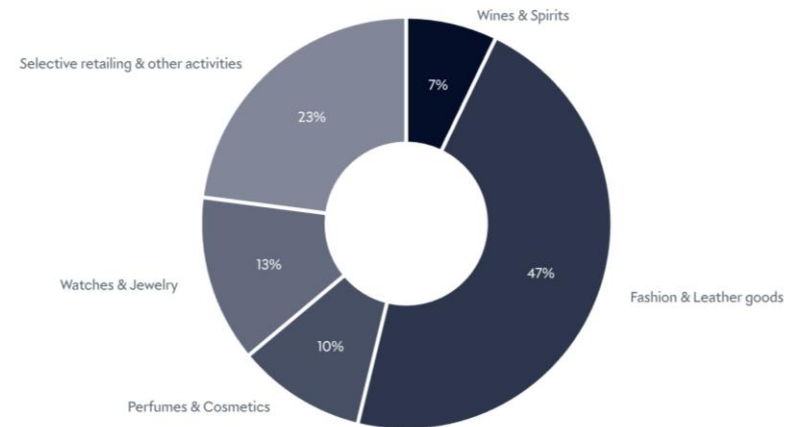
LVMH (Moët Hennessy Louis Vuitton)

- Founded in 1987
- Headquartered in Paris, France
- Business in 6 major sectors
- Operates 75+ luxury brands

Business Segments:

1. **Fashion & Leather Goods:** Louis Vuitton, Dior, Fendi, Celine
2. **Watches & Jewelry:** Tiffany & Co., B Bulgari, TAG Heuer
3. **Wines & Spirits:** Hennessy, Moët & Chandon, Dom Perignon
4. **Perfumes & Cosmetics:** Dior Beauty, Guerlain
5. **Selective Retailing:** Sephora, DFS
6. **Other Activities:** Belmond, Cheval Blanc

REVENUE BY BUSINESS GROUP
as a % of total revenue



LVMH has a diverse portfolio with top name brands which allows the company to generate revenue from multiple areas of the global luxury market.

Sources:

https://www.lvmh.com/en/investors/lvmh_share

Company Overview #2 – How much does LVMH make? (Amaya)

n millions of euros

	2023	2024	2025
REVENUE	86,153	84,683	80,807
GROSS MARGIN	59,277	56,765	53,528
IN % OF REVENUE	69 %	67 %	66 %
PROFIT FROM RECURRING OPERATIONS	22,802	19,571	17,755
IN % OF REVENUE	26.5 %	23.1 %	22.0 %
NET PROFIT	15,952	12,958	11,222
GROUP SHARE OF NET PROFIT	15,174	12,550	10,878

Revenue decreased \$5.346B

Gross Margin declined from 69% to 66% of revenue over the same period

Profit from recurring operations fell \$5.047B, with operating margin declining 26.5% to 22.0%

Net profit decreased \$4.73B

Group share of net profit declined \$4.296B

LVMH's financial performance has declined over the past 3 years. Revenue fell 6.2% from 2023 to 2025, while profit from recurring operation declined 22.1%. The operating margin decreased from 26.5% to 22.0%.

Sources:

https://www.lvmh.com/en/investors/lvmh_share

Company Overview #3 – What is LVMH worth?

Market Data:

Share Price: ~€402.8

Market Cap: ~€198.6B

Ticker: MC.PA

52-week range: €401.40 - €654.70

518k average daily shares

Valuation

P/E (TTM): 18.37x

EPS (TTM): €21.93

1-year target

estimate: €551.93

Dividend Yield: 3.15%

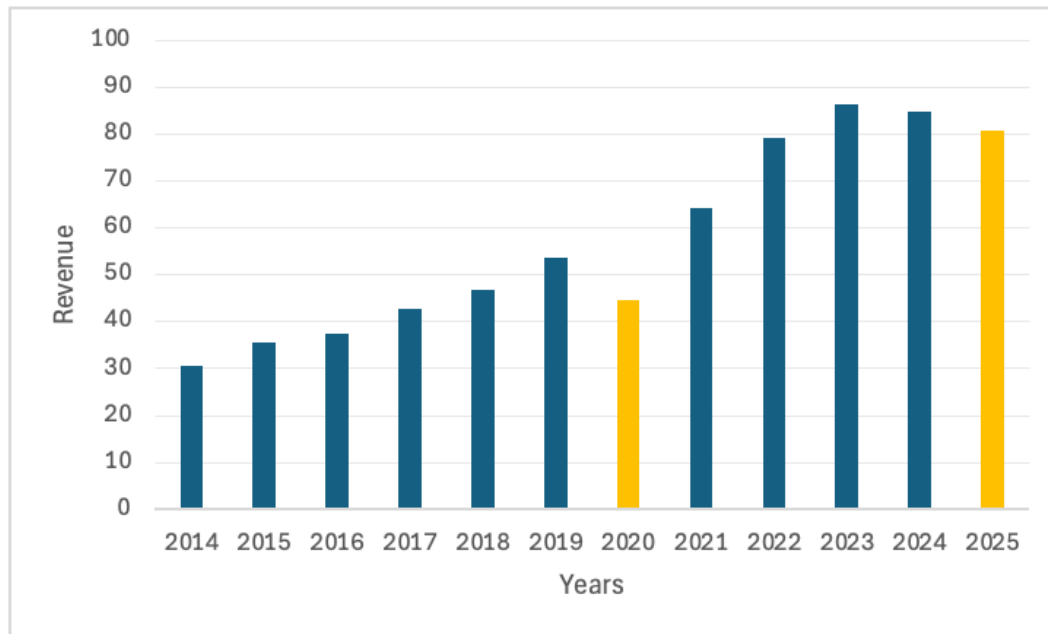


LVMH is trading near the bottom of its 52-week range at €402.80. The stock has experienced a significant decline from its 52-week high of €654.70, while its current P/E ratio is 18.37x.

Source:

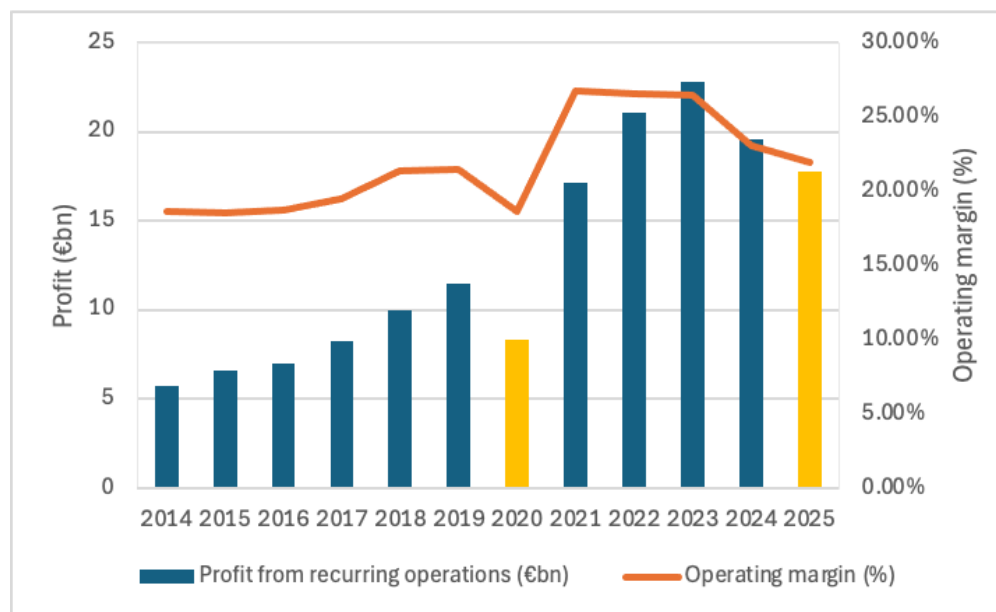
<https://finance.yahoo.com/quote/MC.PA/>

LVMH Revenue Growth



- **€30.6bn** in 2014 to **€80.8bn** in 2025
- **9.2% CAGR**
- Peak **€86.2bn** in 2023
- Revenue grew about **2.6x** since 2014, but has slipped since the 2023 peak.

LVMH Profitability



- **Recurring operating profit:** €5.7bn in 2014 to €17.8bn in 2025, and a €22.8bn peak in 2023 (2025 is about 22% below it).
- **Net profit:** €10.9bn in 2025, down from a €15.2bn peak in 2023 (about 28% lower). Net margin was 13.5% in 2025.
- **Free cash flow:** €11.3bn in 2025, with a €13.5bn peak in 2021.
- Operating Margin stayed above 18% throughout, peaking at 26.7% in 2021 before easing to 22%

LVMH Ratios

Particulars	2019	2021	2023	2025	Notes
Operating margin	21.43%	26.71%	26.47%	21.97%	PRO ÷ revenue
Net margin	13.36%	18.74%	17.61%	13.46%	Net profit ÷ revenue
ROE	18.69%	24.61%	24.20%	15.78%	Net profit ÷ year-end total equity
Net debt / equity	16.18%	19.64%	17.14%	9.95%	Net financial debt ÷ total equity
Current ratio	1.17	1.23	1.32	1.58	Current assets ÷ current liabilities

- **Profitability:** margins and ROE are well below the 2021 to 2023 peak, but still above 2019 levels in operating margin.
- **Leverage:** debt is low relative to equity, and 2025 is the lowest level in the 12 years.
- **Liquidity:** the company covers its short-term obligations **1.6** times over, up from **1.2** in 2019.

Part II: Catalysts in the next 24 months



**Chinese Market
Recovery**



**Margin
Stabilization**



**Core Brand
Momentum**



**U.S. Demand
Resiliency**

Catalyst 1 – Chinese market

China consumption – weak inflation & demand

August CPI: +0.8% YoY



Note: January–February 2026 is reported as a combined period.

- **Subdued demand:** Retail sales growth eased from 3.0% in September 2025 to 0.4% in August 2026, with fluctuations along the way.
- **LVMH catalyst:** A sustained recovery in Chinese consumer confidence and luxury spending could support LVMH's sales growth. Broad retail data alone do not confirm a luxury recovery.

Source: National Bureau of Statistics of China, retail sales releases covering September 2025–August 2026. Accessed September 19, 2026.

Catalyst 2 – Brand Momentum

Flagship Brand	Core Strategic Driver	Monitored Metric	Forecast Impact
Louis Vuitton	Regaining aspirational middle-class demographic	F&LG Organic Growth %	High (Direct Margin Lift)
Christian Dior	Commercialization of Anderson collections	Repeat Purchase Velocity	High (Volume & Mix)
LVMH Group	Sustained Top-of-Funnel Brand Marketing	Brand Equity Premium	Multiple Expansion

Sources:

[1] <https://www.lvmh.com/en/news-lvmh/kenzo-parfums-connects-creation-and-conservation-with-leau-ambree>

[2] <https://www.lvmh.com/en/publications>

[3] <https://www.lvmh.com/en/our-maisons/fashion-leather-good>

Catalyst 3 – Operating Margin Stabilization

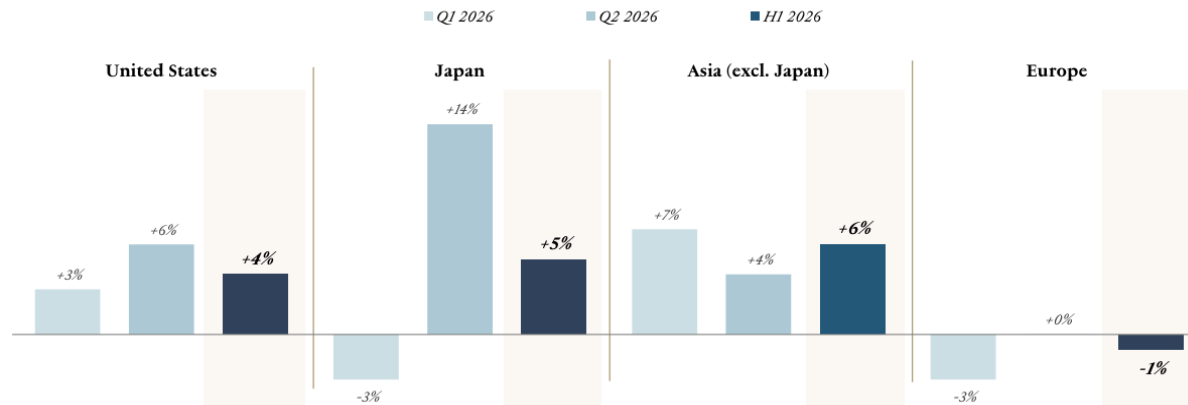
Profit from recurring operations by business group (in millions of euros)

	HI 2025	HI 2026	Change vs HI 2026
<i>Wines & Spirits</i>	524	582	+11%
<i>Fashion & Leather Goods</i>	6 636	6 195	-7%
<i>Perfumes & Cosmetics</i>	425	417	-2%
<i>Watches & Jewelry</i>	762	831	+9%
<i>Selective Retailing</i>	876	893	+2%
<i>Other activities and eliminations</i>	(211)	(228)	-
Total LVMH	9 012	8 691	-4%
<i>Operating margin (%)</i>	22.6%	22.5%	

- **Operating margin:** 26.5% (2023) → 23.1% (2024) → 22.6% (2025) → 22.5% (2026)
 - Margin remained resilient from 2025 to 2026
- **Improvement:** The H1 2026 organic revenue growth increased +2%, with Q2 organic growth +3%.
- **Business group performance:** Growth in Wines & Spirits (11%) and Watches & Jewelry (+9%) compensates for the weak growth in Fashion & Leather Goods (-7%) and Perfumes & Cosmetics (-2%).

Catalyst 4 – US economy & Demand

Quarterly organic revenue change by region (as %) vs. same period in 2025



- **U.S. demand:** Organic revenue growth increased 6% after a 3% increase in Q1 2026.
- **U.S. growth** was +4% in H1 2026, compared with –1% in Europe.
 - Europe: After a –3% growth in Q1, sales were flat in Q2, with the Middle East conflict impacting tourism.
- **Fashion and Leather Goods:** Generated a 1% growth, its first quarterly increase in two years, driven mainly by U.S. consumers.

Source: LVMH. 2026 First-Half Results. July 27, 2026. Accessed September 19, 2026.

Patton, Dominique. "LVMH Sales Tick Up as US Luxury Demand Offsets Hit from Iran War." Reuters, July 27, 2026. Accessed September 19, 2026.

Part III: Valuations

1. Segment-Based Price-to-Sales (P/S) Valuation
2. Relative Price-to-Sales (P/S) Valuation
3. Relative Price-to-Earnings (P/E) Valuation
4. Relative Price-to-Operating Income (P/EBIT) Valuation
5. Dividend Discount Model Valuation

2027 Forward PS – within the company sector based

Segment	Sales 2027 (Est)	26/27 Rev YoY %	EV/Sales	Value
Wines & Spirits	4.2	-13%	2.86×	24.4
Fashion & Leather	34.4	-6%	3.60×	251.7
Perfumes & Cosmetics	8.3	1%	1.80×	30.5
Watches & Jewelry	10.6	2%	2.89×	62.1
Selective Retailing	18.7	1%	1.54×	58.5
Interco	0.5	-13%	1×	1.1

428

6% Upside potential

Fashion & Leather:

- 3.6x PS due to strong bargaining power and brand reputation
- Lower than Hermes 8.7x and Richemont 4.7x due to concerns about long-term revenue growth

PS – Compared to historical PS

10 Years ▼

P/S TTM

2.48

Percentile

8%



Low PS compared to historical due to recent concerns about the company's future revenues

Source: FUTU securities, code: LVMUY

PS – Compared to historical PS

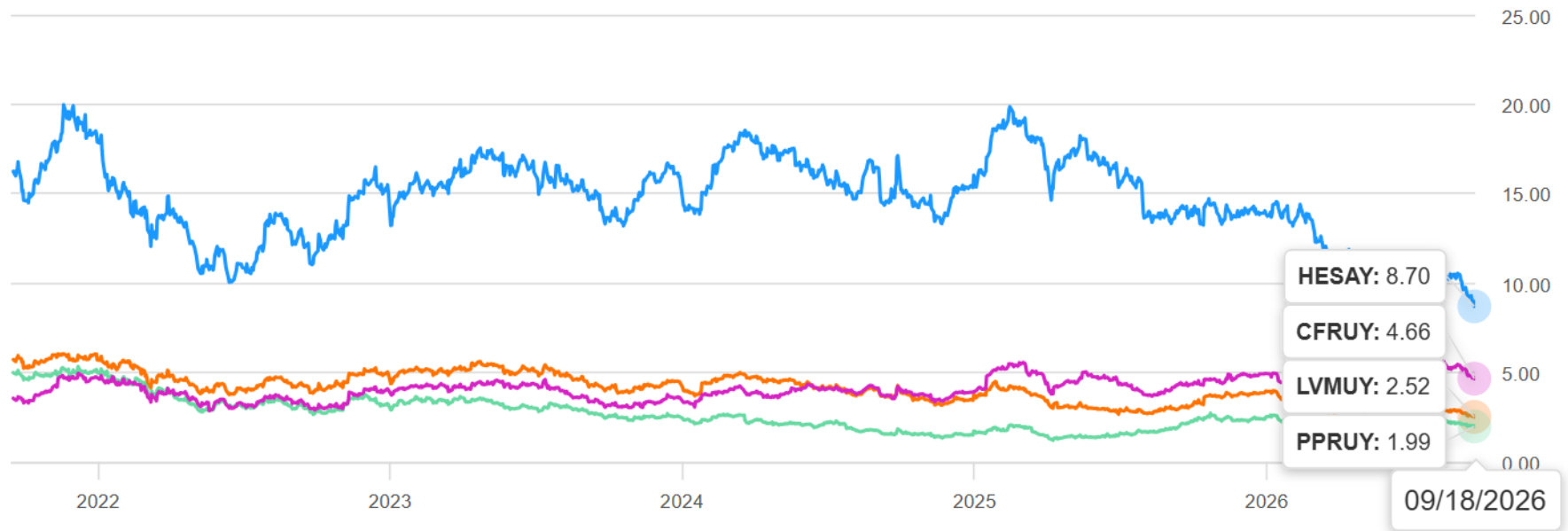
+50% Potential on historical average PS

Historical PS	PS	Stock Price on FY27 Rev est	Var Current Price
Reasonable range_Upper	5.1	794	97%
Historical Average	3.9	604	50%
Reasonable range_Low	2.7	413	3%
Current Price	2.6	403	0%

PS – Compared to Industry

The whole industry PS has gone down since 2026
Jan showing concerns about weak consumption

Metric: Price / Sales (TTM) ▾



Source: https://seekingalpha.com/comparison/new/MCUyQ2x2bXV5JTJDAGVzYXkiMkNjZnJ1eSUyQ3BwcnV5?axis=linear&interval=5Y&metric=ps_ratio

Note: HESAY: Hermes; CFRUY: Richemont; LVMUY: LVMH; PPRUY: Kering

PS – Compared to Industry PS

+20% Potential on the industrial average PS

PS vs Industry	PS	Stock Price on FY27 Rev est	Var Current Price
Hermes	8.7	1,357	237%
Richemont	4.7	727	80%
Average	4.5	702	74%
Average (Exc Hermes)	3.1	484	20%
LVMH	2.5	393	-2%
Kering	2.0	310	-23%

Reason for excluding Hermes:

Dominance in the high-end market

Bargaining power on pricing

Source: https://seekingalpha.com/comparison/new/MCUyQ2x2bXV5JTJDAGVzYXklMkNjZnJ1eSUyQ3BwcnV5?axis=linear&interval=5Y&metric=ps_ratio

PS – Forecast with -3% revenue growth 26/27 & 2.8x

		Revenue growth 26/27 %				
	Price Senarios	-4.0%	-3.5%	-3.0%	-2.5%	-2.0%
PS Multiplier	2.2x	340	341	343	345	347
	2.4x	370	372	374	376	378
	2.6x	401	403	406	408	410
	2.8x	432	434	437	439	441
	3.0x	463	466	468	470	473
	3.2x	494	497	499	502	504
	3.4x	525	528	530	533	536

		Revenue growth 26/27 %				
	Price Senarios	-4.0%	-3.5%	-3.0%	-2.5%	-2.0%
PS Multiplier	2.2x	-16%	-15%	-15%	-14%	-14%
	2.4x	-8%	-8%	-7%	-7%	-6%
	2.6x	0%	0%	1%	1%	2%
	2.8x	7%	8%	8%	9%	10%
	3.0x	15%	16%	16%	17%	17%
	3.2x	23%	23%	24%	25%	25%
	3.4x	30%	31%	32%	32%	33%

PE – Compared to historical PE

Updated: Sep 19, 2026 12:24

Historical Distribution

Compare >

10 Years ▼

P/E TTM

18.25

Percentile

4%

Forward P/E

16.59

Vs Historical
average 28x



Low PE compared to historical due to recent concerns about the company's future earnings

Source: FUTU securities, code: LVMUY

PE – Compared to historical PE

+70% Potential on historical average PE

Historical PE	PE	Stock Price on FY27 Rev est	Var Current Price
Reasonable range_Upper	39.7	964	139%
Historical Average	28.3	685	70%
Reasonable range_Low	16.8	407	1%
Current Price	16.6	403	0%

P/EBIT – Compared to industries



Lowest P/EBIT compared to peers since 2025 due to concerns about LVMH's long-term potential compared to competitors

Can LVMH maintain its prestigious reputation among high-end consumers?

Source: https://seekingalpha.com/comparison/new/MCUyQ2x2bXV5JTJDAGVzYXklMkNjZnJ1eSUyQ3BwcV5?axis=linear&interval=5Y&metric=ev_vs_operating_income

Note: HESAY: Hermes; CFRUY: Richemont; LVMUY: LVMH; PPRUY: Kering

P/EBIT – Compared to Industry P/EBIT

+51% Potential on the industrial average P/EBIT

P/EBIT vs Industry	P/EBIT	Stock Price on FY27 Rev est	Var Current Price
Kering	24.0	747	86%
Richemont	21.7	678	68%
Average	19.5	608	51%
Hermes	19.3	602	49%
LVMH	13.0	406	1%

Source: https://seekingalpha.com/comparison/new/MCUyQ2x2bXV5JTJDaGVzYXklMkNjZnJleSUyQ3BwcnV5?axis=linear&interval=5Y&metric=ev_vs_operating_income

Dividend & Buyback model

Dividend assumption	Base case	Basis
Starting annual dividend	€13.00	FY2025 actual
Growth, years 1–5	5.0%	Team assumption
Cost of equity / terminal growth	7.5% / 4.5%	Team assumption
Present value per share	€463	Team assumption

Cost of equity	g = 4.0 %	g = 4.5%	g = 5.0%
7.0%	472	556	683
7.5%	404	463	546
8.0%	353	397	455

- Our two-stage DDM estimates a value of approximately €463 per share, assuming 5% dividend growth for the first five years, a 7.5% cost of equity, and 4.5% terminal growth.
- This estimate is higher than share price of €403, implying limited upside of approximately 15%.

Valuation summary

Valuation	Price	Potential
Forward PS by sector	428	6%
Historical PS @ 3.9x	604	50%
Industrial PS @ 3.1x	484	20%
Forward PS @ 2.8x	437	8%
Historical PE @ 28x	685	70%
Industrial P/EBIT	608	51%
Dividend & Buy back Model	463	15%
Average	443	10%

Historical &
Industrial valuation
not comparable for
LVMH

Company - specific risk factors

1. Highly cyclical nature of the luxury business:

Consumer confidence supports the demand; rising global inflation possess serious threats to the company.

Lipstick Effect (redirect a small portion of their budget toward inexpensive treats like premium lipsticks, fragrances during financial stress or economic downturns).

2. Governance and Succession Challenges:

The founder Bernard Arnault (77 y.o.) has no immediate plans to resign, but the time is approaching for an inter-generational handover (all 5 children are in leadership roles within the company).

3. Changing consumer behavior:

- Personalization as the top consumer trend
- Experiential luxury - immersion, storytelling, and interaction
- Pre-owned luxury (second-hand) and the value mindset (sustainability – e.g. shift from leather)
- Drastically declining spirits segment as representation of global culture shift

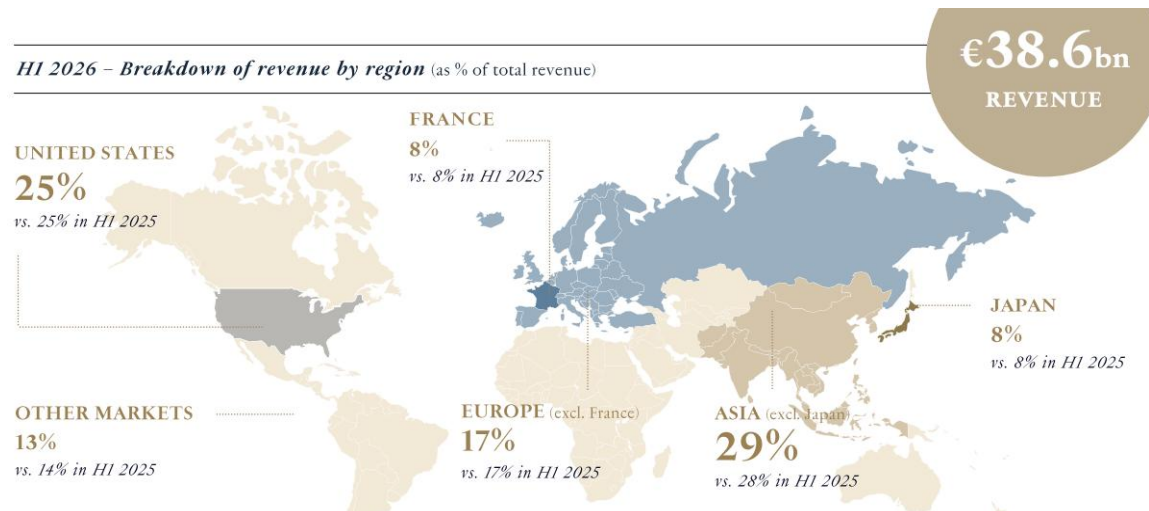
Sources:

[1] www.stgeorgecapital.ca/research/in-pursuit-of-prestige-the-rise-risks-and-rewards-of-lvmh-s-empire

[2] www.deloitte.com/global/en/industries/consumer/perspectives/global-powers-of-luxury.html

[3] Forbes.com/sites/shaheenajanjuhajivrajeurope/2026/08/03/lvmh-has-a-governance-problem-not-a-succession-one/

Global Risk Factor 1: U.S. Tariffs



- The U.S. represented 25% of H1 2026 total revenue.
- In 2025, trade policy concerns dragged LVMH's shares down, reducing the group's market capitalisation by \$100 billion euro.
- Tariffs may increase costs, leading to higher prices, lower margins, or production shifts.
 - Higher prices could weaken the luxury market, declining the strong +6% Q2 2026 organic growth
- Mitigation: Move production to the United States to lessen the impact of tariffs.

Source:

[1] LVMH. 2026 First-Half Results. July 27, 2026. Accessed September 19, 2026.

[2] Hummel, Tassilo & Spencer, Mimosa, "LVMH's Arnault lashes out at Brussels over US trade tensions," *Reuters*, April 17, 2025. Accessed September 19, 2026.

[3] Stauton, Nick. "Weekend Read: The Worst Possible Moment: How Trump's Tariff Wall is Hitting LVMH, Kering and Richemont Where It Hurts Most." *European Business Magazine*

Global Risk Factor 2: Weak China Consumption

- China is experiencing a sharp slowdown as wealthy consumers reduce their spending, leading to international brands such as LVMH shutting stores down.
 - High-net worth individuals plan to reduce their spending on luxury goods by 10 percent in 2026.
 - This is a direct result of tighter tax checks, unstable financial markets and weakness in the property sector.
 - LVMH's retail sales declined by 0.6% in May 2026.
 - Chinese consumers account for 30% of LVMH's total sales. However, YOY retail sales growth grew 0.4% (forecasted to be 0.8%).
 - This indicates continued weakness in China luxury goods consumption.
-

Mitigation: Continued growth in other regions such as U.S. & Europe can reduce reliance on Chinese consumer demand.

Source:

[1] The Statesman. "China's Luxury Market Slows as Louis Vuitton, Gucci, Rolex Cut Stores amid Weak Demand." Asia News Network, September 17, 2026. Accessed September 19, 2026.

[2] Mealha, Quirino. "China's Retail Sales Slow Again as Beijing Struggles to Revive Consumer Spending." *Yahoo Finance*, September 15, 2026. Accessed September 19, 2026.

LVMH: Reasons for a long position

Brand strength and recovery potential, with valuation discipline

01 Exceptional brand portfolio

Louis Vuitton and Dior underpin pricing power and long-term earnings resilience.

02 Identifiable recovery catalysts

China recovery, stable margins, core-brand momentum and resilient US demand.

03 Valuation with entry discipline

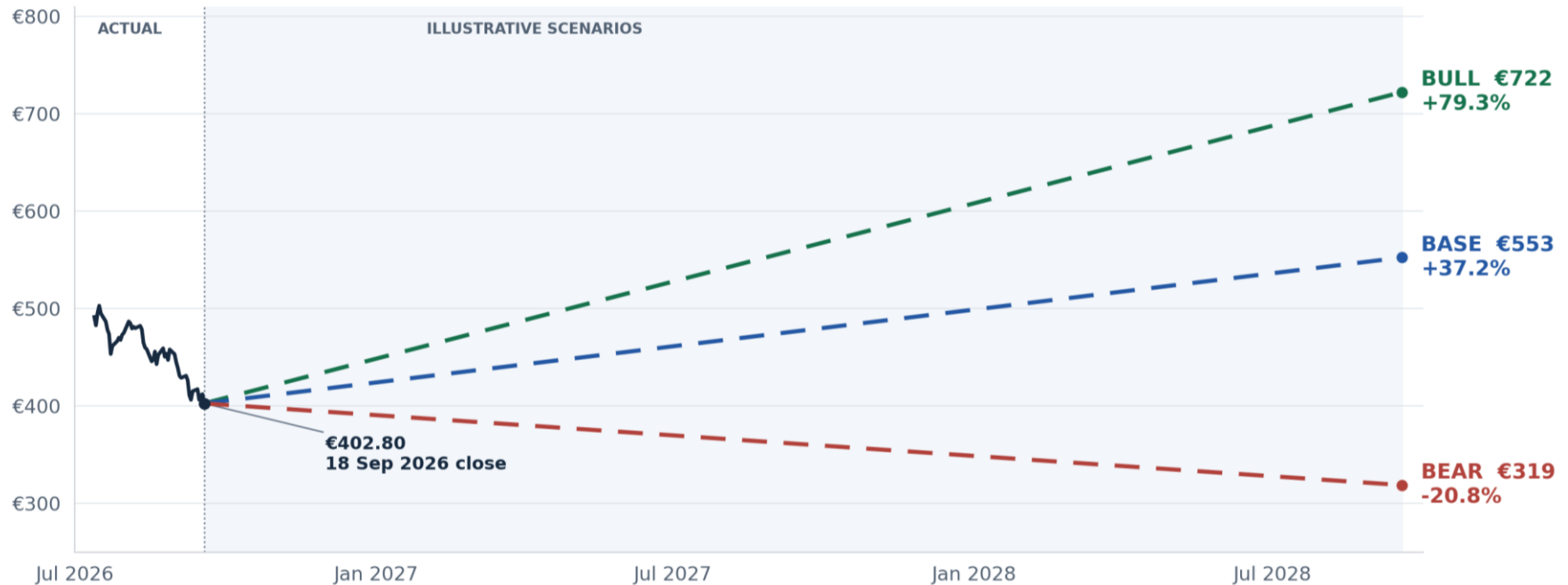
Assess normalized earnings and cash flow, with a sufficient margin of safety.

04 Earnings and re-rating potential

Stronger volumes and margins could lift profits and support a higher valuation.

Key risk: a slower recovery or weaker brand demand would reduce expected upside.

Conclusion – LVMH 24-month stock price scenarios



Bull: China recovery + LV/Dior Regain volume + US demand broadens
(Sales € 96bn & EBIT margin 25%)

Base: China recovers gradually + steady brand growth + US spending resilient
(Sales € 90bn & EBIT margin 24%)

Bear: China weak demand + Margin falls to 20% + US spending softens
(Sales € 80bn & EBIT margin 20%)